Congress flip unlikely to unlock arms sales

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【メール原文】

Democratic victory is unlikely to shift Trump’s political calculus on withholding arms sales, as Trump continues to prioritize US-China stability over

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Democratic Congress unlikely to unlock additional US arms sales

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Taiwan
Additional US arms sales remain unlikely even with a Democratic-controlled Congress. The US Democratic Party secured majorities in both chambers of Congress in the 3 November midterm elections.

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Democratic control is unlikely to alter President Donald Trump’s political calculus or prompt him to resume arms sales. Trump continues to prioritize US-China stability over security assistance to Taiwan. Beijing has indicated that arms sales would disrupt the truce and complicate the leaders’ summits on the sidelines of APEC and G20 this year. The executive branch controls the implementation of foreign military sales (FMS), including final delivery, and Congress lacks a viable legislative path to force Trump to change course. Although FMS has historically enjoyed bipartisan support in Congress, the current disruption reflects a decision by the executive branch.
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Delays in arms sales will probably extend beyond January 2027. We do not expect the US to announce additional arms sales to Taiwan before then. January marks the next deadline for the US-China trade truce, which we expect Washington and Beijing to extend.
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Popular opposition to US data centers and the election of skeptical governors may temporarily dampen Taiwan's economic growth. More states will impose conditions on data center development. Although those conditions may increase costs for developers, they are unlikely to reduce overall demand because companies will shift projects to more supportive states and municipalities. Taiwan's AI-related exports to the US will likely continue to rise, supported by sustained demand from US technology companies.

Politics

Beijing will keep pressing ahead on corruption, even at a cost to growth. On 1 November, Xinhua published the Fifth Plenum's decision on "persistently advancing" strict party governance, a document that further strengthens Xi Jinping's authority and ideology. The leadership views continued misconduct, including by senior officials, as evidence that current disciplinary measures remain inadequate. As a result, the campaign will intensify rather than wind down. Xi's explicit rejection of any trade-off between growth and anti-corruption suggests that Beijing will accept near-term economic costs rather than relax enforcement.

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The decision further tightens Xi's control over ideology and personnel. It reinforces Xi's "core" status and makes "Xi Jinping Thought on Party Building" an element of the party's guiding ideology.

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Enforcement will extend to new channels for concealing wealth. The decision targets proxy holdings, "white gloves," and the revolving door between officials and business. It also identifies virtual currencies, blockchain, and cross-border capital flows as tools of corruption. Platform and technology firms will face broader party oversight and closer scrutiny of their ties to officials.

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Economic concerns will not slow the campaign. Xi presents stricter governance as a prerequisite for the party's "socioeconomic development" goals, not as a drag on growth. According to Xinhua, he directly rejected the "so-called trade-off" between economic growth and anti-corruption and argued that clean governance strengthens China's long-term trajectory. Local officials who fear scrutiny will likely remain cautious on approvals and spending, and Beijing appears willing to tolerate that drag.

Graphic of the Week

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Low attendance at the Fifth Plenum shows that Xi's disciplinary campaign is still reshaping the Central Committee. The sharp increase in absences points to continued turmoil at senior levels. With one year to go before the 2027 party congress, Xi still has substantial vetting to complete before he finalizes the Central Committee's composition (see note , 29 October 2026).

Economic Policy

Beijing is prioritizing financial stability and regulatory control. Chinese financial authorities will probably delay major growth stimulus until after Xi secures a fourth term at the party congress in October 2027.

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Regulators will limit renminbi appreciation. Demand for diversification and lower renminbi funding costs have increased appreciation pressure since the Iran war. The People's Bank of China issued a formal currency position paper on 8 October and raised the foreign exchange reserve requirement ratio, effective 15 November, signaling greater resolve to manage appreciation expectations.

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Beijing will reinforce equity-market stability without delivering major stimulus. On 2 November, regulators expanded funding for institutional investors and lowered bank financing costs for corporate buybacks and shareholder purchases. The buyback lending program is now permanent, while the China Securities Regulatory Commission is considering easing restrictions on buybacks and margin financing. Without stronger support for growth and corporate earnings, a sustained equity rebound is unlikely.
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Beijing will tighten financial oversight, particularly over cross-border activities (see Politics section). The draft Financial Law entered its second legislative review on 2 November, bringing financial activities under a unified regulatory framework. Domestic institutions will face stricter compliance requirements and less room for regulatory arbitrage. Foreign institutions will also face closer oversight of cross-border services, capital flows, and financial data transfers, reflecting Beijing's growing emphasis on financial sovereignty.

Foreign Policy

Beijing will increase Gulf outreach amid heightened concerns over renewed conflict. China stepped up diplomacy with Middle Eastern countries this week. Xi hosted Sultan Haitham Bin Tarik Al Said of Oman for a state visit, while Foreign Minister Wang Yi met senior national security officials from Iran and Saudi Arabia in Beijing. China's special envoy for the Middle East, Zhai Jun, will visit Iran, Oman, and Saudi Arabia later this month, after meeting counterparts from Qatar and Saudi Arabia this week.

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China will coordinate closely with Gulf countries to protect its interests. Beijing maintains close diplomatic and economic relationships with both sides of the conflict and will seek to preserve them. That approach will keep China from siding decisively with any country in the region, but Beijing may use its relationship with Tehran to encourage Iran to return to the negotiating table with the US.
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Beijing will remain cautious and limit its direct role in ending the conflict. Higher energy prices from renewed fighting would weigh on China's economy and further strain oil reserves. However, Beijing believes it lacks influence in the region and remains unwilling to offer security guarantees needed to support a more durable ceasefire.
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China will continue to call for a new security architecture in the Middle East that rejects "foreign interference." For Beijing, one benefit of the conflict is reduced US influence in the Middle East, as countries in the region increasingly look to China to lessen their dependence on Washington.

US-China

Technology decoupling will continue despite leader summits. On 28 October, the Department of Homeland Security added three Chinese genomics companies to the Uyghur Forced Labor Prevention Act Entity List. On 29 October, the Federal Communications Commission said that it would vote to block Chinese telecom companies from accessing US phone numbers, restrict equipment linked to Huawei and ZTE, and withdraw recognition from Chinese electronics testing labs by the end of 2028.

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China will retaliate against both US measures. The Ministry of Commerce and Ministry of Foreign Affairs said Beijing would take "necessary measures." China's response could include sanctions and export controls on US companies, withdrawal of recognition for US electronics testing labs, or national security reviews of US tech exports.
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Recent restrictions on chips and data centers will further strain US-China tech ties. Nvidia has reportedly required data center partners to direct most services to non-Chinese customers. On 4 November, reports also said Oracle had canceled a deal with Tencent that would have given it access to advanced AI chips in Southeast Asian data centers, closing a supposed loophole in US export controls. Beijing has not signaled retaliation, but regulators could quietly complicate operations for US firms to show disapproval.

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Democratic majorities in both chambers next year are unlikely to shift Trump's China agenda. Momentum behind anti-China bills is also unlikely to change materially, given the bipartisan nature of congressional China policy. A note with more detail on the implications of the midterm elections on US-China relations is forthcoming.

Standing Calls

Notes underpinning calls:

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Next leadership cycle will harden centralization around Xi , 22 October 2026

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Hybrids deal won't stop gradual EU trade policy tightening , 14 October 2026

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing's growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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15 November: Comment period ends for China's newly announced AI export controls

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16–18 November: ASEAN summit in Manila

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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Second week of December: Central Economic Work Conference in Beijing

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14–15 December: G20 leaders' summit in Miami

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10 January: US-China truce extension expires

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